

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

LOGFRET, INC., *Complainant*

v.

KIRSHA, B.V., LEENDERT JOHANNES BERGWERFF A/K/A
HANS BERGWERFF, AND LINDA SIEVAL, *Respondents*.

DOCKET NO. 18-10

Served: September 17, 2019

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION GRANTING MOTION TO DISMISS¹

I. Introduction

A. Summary

Complainant Logfret, Inc. (“Logfret”) is a non-vessel-operating common carrier (“NVOCC”) that provides transport, logistics, and related shipping services to customers in the United States and worldwide. Complainant Logfret is an affiliate of Logfret B.V.,² a common carrier based in The Netherlands.

Respondents are two individuals and a corporation. According to the amended complaint, Mr. Bergwerff, a Dutch national, was Managing Director of Logfret B.V., and Ms. Sieval, a Dutch national, was a sales manager for Logfret B.V. Amended complaint at 2. Thus, both individual Respondents were employees of Logfret B.V., Complainant’s affiliate in The Netherlands. The corporate Respondent, Kirsha B.V.,³ is a corporation in The Netherlands whose owner and managing director is Mr. Bergwerff, one of the individual Respondents. Amended complaint at 2-3.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227(c). An appeal by a party must be filed with the Commission’s Office of the Secretary within twenty-two days from the date of service of the decision. 46 C.F.R. § 502.227(b)(1).

² The filings identify Logfret B.V. both with and without a comma. For consistency, no comma is used.

³ The filings identify Kirsha B.V. both with and without a comma. For consistency, no comma is used.

Respondents assert that this is “an internal disagreement among Logfret entities, employees and former management of Logfret, B.V.,” the Logfret affiliate in The Netherlands. Respondents’ opposition to the motion to amend complaint and statement of impact of proposed amendment (“Impact Statement”) at 4. Indeed, the amended complaint alleges that Respondents “committed numerous unethical and illegal activities with respect to the management and governance of Logfret B.V., including but not limited to improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of Logfret B.V. assets.” Amended complaint at 4.

The amended complaint also asserts violations of the Shipping Act of 1984 (“Shipping Act.”). The amended complaint states that “Mr. Bergwerff, with the help of Ms. Sieval, directed the staff of Logfret B.V. to handle inbound shipments to the United States through Delmar USA rather than Logfret, for at least two accounts” and that for “months thereafter, Mr. Bergwerff and Ms. Sieval knowingly received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret B.V. with the intent to be shipped to the United States on Logfret bills of lading.” Amended complaint at 5-6. Rather than using a related Logfret company, Respondents allegedly used non-party Delmar USA for some shipments to the United States to the detriment of Complainant Logfret.

For the reasons set forth below, Respondents’ motion to dismiss is **GRANTED**.

B. Procedural History

This proceeding began with a complaint filed on November 14, 2018. The time to respond to the complaint was extended to January 2019. On January 28, 2019, Respondents Kirsha B.V., Leendert Johanness Bergwerff a/k/a Hans Bergwerff, and Linda Sieval filed a motion to dismiss the complaint and memorandum in support of the motion (“Motion”).

On February 7, 2019, Complainant Logfret filed a motion to amend the complaint. In response to an order, on February 21, 2019, Complainant filed a memorandum in support of the motion to amend the complaint and attached the proposed amended complaint. On March 7, 2019, Respondents filed an opposition to the motion to amend the complaint and statement of impact of the proposed amendment on their motion to dismiss. On April 24, 2019, an order was issued granting the motion to amend the complaint and allowing the parties additional time to brief the motion to dismiss as applied to the amended complaint.

On May 8, 2019, Complainant filed a memorandum in opposition to Respondents’ motion to dismiss (“Opposition”). On May 20, 2019, Respondents filed a reply to Complainant’s opposition to the motion to dismiss (“Reply”). The issue is now ripe for decision.

II. Arguments of the Parties

Respondents contend that the proceeding should be dismissed for lack of subject matter jurisdiction and lack of personal jurisdiction over Respondents, asserting that it “can be ascertained from the pleadings that the natural person Respondents, during the pertinent time period, were acting as managers, and employees of Logfret B.V., a company affiliated with Complainant;” that none of the Respondents were “acting as common carriers, marine terminal

operators, and/or ocean freight forwarders;” and that the pleadings fail to allege facts that state a claim for relief that is plausible on their face. Motion at 1-2.

Complainant asserts that the motion to dismiss should be denied, the amended complaint describes a clear violation of the Shipping Act, and the Commission has jurisdiction over Respondents. Opposition at 4.

III. Analysis

A. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. “In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). F.R.C.P. 12; *see also Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136. “Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit.” *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223 (5th Cir. 2012). The “party asserting subject-matter jurisdiction, has the burden of proving its existence by a preponderance of the evidence.” *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012).

Pursuant to Federal Rule 10(c), exhibits attached to a complaint are considered part of the complaint for all purposes. F.R.C.P. 10(c). When deciding a facial jurisdictional attack, courts “accept the well-pleaded factual allegations in the complaint as true.” Courts, however, “are not required to accept mere conclusory allegations as true, nor are we required to accept as true allegations in the complaint that are contrary to factual details presented in the exhibits. Rather, ‘when the exhibits contradict the general and conclusory allegations of the pleading, the exhibits govern.’” *Lawrence v. United States*, 597 F. App’x 599, 602 (11th Cir. 2015).

At this stage, “Rule 12(b)(6) does not require ‘the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible.’” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015) (quoting *Arista Records LLC v. Doe 3*, 604 F.3d 110, 120-21 (2d Cir. 2010)). Instead, the “complaint’s factual allegations ‘must be enough to raise a right to relief above the speculative level’ and must ‘nudge claims across the line from conceivable to plausible.’” *Maher*, 34 S.R.R. at 57-58 (quoting *Cornell*, 33 S.R.R. at 620). However, “[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’” *Maher*, 34 S.R.R. at 58. The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 678. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.”

Cornell, 33 S.R.R. at 620-621 (citations omitted).

B. Special Appearance

Complainant asserts that the notices of special appearance by Respondents’ counsel in this proceeding discuss motions to dismiss for personal and subject matter jurisdiction but not for failure to state a claim and that the motion to dismiss mentions Federal Rules 12(b)(1), 12(b)(2), and 8 but not 12(b)(6). Opposition at 15.

Commission Rule 21(c) permits special appearances. 46 C.F.R. § 502.21(c). The appearance by counsel for Respondents states: “Respondents dispute the Federal Maritime Commission’s . . . personal jurisdiction over Respondents, and the Commission’s subject-matter jurisdiction over the matters pleaded in subject complaint” and that “Respondents have authorized undersigned counsel to make a special appearance on behalf of Respondents solely to address jurisdiction questions or issues pursuant to the Federal Rules of Civil Procedure 12(b)(1) and (2).” Respondents’ notice of special appearance at 1.

While the motion to dismiss refers only to personal and subject matter jurisdiction, the attached memorandum in support of the motion to dismiss discusses failure to state a claim under *Iqbal* and *Twombly*. Motion at 2, 9-11. In addition, the Complainant was allowed to amend the complaint after the special appearance and motion were filed, which may have altered the analysis. However, Complainant had sufficient notice of Respondents’ arguments. In addition, judicial efficiency is enhanced when both challenges to jurisdiction and failure to state a claim

are raised concurrently. Complainant's request to find the Rule 12(b)(6) arguments improper and not consider them is hereby **DENIED**.

C. Facts

For purposes of evaluating the motion to dismiss, the facts presented by Logfret are presumed to be true. Logfret states in the amended complaint:

NAMED PARTIES AND OTHER ENTITIES

3. Complainant Logfret is a corporation organized and existing under the laws of the State of Delaware, with its principal place of business at 6801 Westside Avenue, North Bergen, New Jersey 07047.

4. Logfret is a non-vessel-operating common carrier ("NVOCC") that provides transport, logistics and related shipping services to customers in the United States and worldwide. Logfret is licensed by the FMC as an NVOCC and freight forwarder, *i.e.* as an Ocean Transportation Intermediary ("OTI"), under license no. 007636, pursuant to 46 C.F.R. Part 520 of the Federal Maritime Commission Regulations.

5. Logfret is a wholly-owned subsidiary of Logfret Group, a non-US company whose sole non-US parent is Logistique Holding SAS.

6. Complainant Logfret is an affiliate of Logfret B.V., a company organized under the laws of The Netherlands and headquartered at Ringdijk 366, 2983 GR Ridderkerk, The Netherlands. Logfret B.V. is a Dutch common carrier that is not registered with the FMC and is not intended to or authorized to operate in the foreign commerce of the United States.

7. Mr. Bergwerff, a Dutch national, was Managing Director of Logfret B.V. from March 28, 2006 until the termination of his employment on May 12, 2017.

8. The physical address for Mr. Bergwerff is . . . Barendrecht, The Netherlands. . . .

9. Ms. Sieval, a Dutch national, was a sales manager for Logfret B.V. until the termination of her employment on March 1, 2018.

10. The physical address for Ms. Sieval is . . . Leiden, The Netherlands. . . .

11. Kirsha, B.V. is a corporation organized and existing under the laws of The Netherlands, with its principal place of business at Noordersingel 78, 2993 TA Barendrecht, The Netherlands.

12. The owner and managing director of Kirsha, B.V. is Mr. Bergwerff, who exercises signatory authority and direct control over Kirsha, B.V.

13. Mr. Bergwerff is also Country Manager for BeNeLux at Visa Global Logistics B.V., a Dutch company headquartered at Deventerweg 6, 2994 LD Barendrecht, The Netherlands.
14. Delmar International Inc. is a Canadian NVOCC and logistics company headquartered at 10636 Chemin de la Côte-de-Liesse, Montreal, QC H8T 1A5, Canada. Delmar International Inc. is not registered with the FMC as a foreign NVOCC.
15. Delmar International (N.Y.) Inc. d/b/a Delmar International (USA) (“Delmar USA”) is a U.S. subsidiary of Delmar International Inc. Delmar USA is organized under the laws of the State of New Jersey and is headquartered at One Cross Island Plaza, Suite 227, Rosedale, New Jersey 11422.
16. Delmar USA has offices at, among other places, 1691 Phoenix Boulevard, Suite 300, Atlanta, GA 30349 USA.
17. Delmar USA is licensed by the FMC as an NVOCC and freight forwarder under FMC License No. 004031, pursuant to 46 C.F.R. Part 520 of the Federal Maritime Commission Regulations.

JURISDICTION

18. The FMC has subject matter jurisdiction over this action pursuant to the Shipping Act of 1984, 46 U.S.C. § 40101 *et seq.*
19. The FMC has personal jurisdiction over Mr. Bergwerff as a “common carrier” defined at 46 U.S.C. § 40101.
20. The FMC has personal jurisdiction over Ms. Sieval as a “common carrier” defined at 46 U.S.C. § 40101.
21. The FMC has personal jurisdiction over Respondent Kirsha B.V. as a “common carrier” defined at 46 U.S.C. § 40101.
22. The FMC may award payment of reparations for actual injury caused by a violation of the Shipping Act, pursuant to the filing of a sworn complaint alleging same and filed within three (3) years of accrual of the claim. 46 U.S.C. §§ 41301, 41305.

MEMORANDUM OF THE FACTS

23. On or about March 28, 2006, Mr. Bergwerff assumed day-to-day responsibility and control of Logfret B.V. as Managing Director of Logfret B.V.
24. As part of his becoming Managing Director of Logfret B.V., Mr. Bergwerff negotiated that his salary be paid directly to Kirsha B.V.

25. During Mr. Bergwerff's tenure at Logfret B.V., Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. committed numerous unethical and illegal activities with respect to the management and governance of Logfret B.V., including but not limited to improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of Logfret B.V. assets. *See* Ex. 1 (February 20, 2019 Declaration of Jean Francois Millet).
26. Among the many illegal acts committed by Respondents were a number of violations of the Shipping Act, as amended, to the irreparable detriment and prejudice of Logfret.
27. On at least one occasion, on January 5, 2017, Mr. Bergwerff and Ms. Sieval used a fictitious entity, "Logfret Cargo Line," to issue a fraudulent bill of lading for a shipment from The Netherlands to the United States. Mr. Bergwerff and Ms. Sieval used as delivery agent for the shipment Deltrans International Shipping Corp., c/o Delmar USA. *See* Ex. 1 and Ex. 2 ("Logfret Cargo Line" bill of lading, dated January 5, 2017).
28. "Logfret Cargo Line" is not an existing entity, and is not licensed or registered with the FMC. *See* Ex. 1.
29. Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. fraudulently used Logfret B.V. as a means of handling logistics and administration of the aforementioned shipment, including invoicing and personnel support.
30. In arranging and benefiting from the provision of ocean transportation of cargo from The Netherlands to the United States via the fictitious and unregistered entity "Logfret Cargo Line," Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. acted as *de facto* "common carriers" within the definition at 46 U.S.C. § 40101 and "non-vessel-operating common carriers" within the definition at 46 U.S.C. § 40101.
31. On or about February 4, 2017 to February 6, 2017, Mr. Bergwerff and Ms. Sieval traveled to Montreal, Canada, to meet with executives at Delmar International Inc. to discuss the ongoing business relationship between Logfret B.V., Delmar International Inc. and the branch offices of its subsidiary, Delmar USA. In particular, Mr. Bergwerff and Ms. Sieval discussed a plan with Delmar International Inc. whereby Mr. Bergwerff and Ms. Sieval would use the infrastructure, employees, and resources of Logfret B.V., in coordination with Delmar USA branch offices, to issue Delmar USA bills of lading for inbound shipments to the United States. *See* Ex. 3 (Montreal plane fare receipt and Montreal hotel receipt for Mr. Bergwerff and Ms. Sieval).
32. On or about February 28, 2017, Mr. Bergwerff, with the help of Ms. Sieval, directed the staff of Logfret B.V. to handle inbound shipments to the United States through Delmar USA rather than Logfret, for at least two accounts. *See, e.g.,* Ex. 4 (Meeting Notes for February 28, 2017 sales meeting – Dutch original) (highlights

added for emphasis); Ex. 5 (Meeting Notes for February 28, 2017 sales meeting – English translation) (highlights added for emphasis).

33. For months thereafter, Mr. Bergwerff and Ms. Sieval knowingly received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret B.V. with the intent to be shipped to the United States on Logfret bills of lading.

34. Mr. Bergwerff and Ms. Sieval used this information to unlawfully route inbound shipments away from Logfret toward Delmar USA, a competing common carrier and NVOCC. As part of these unlawful activities, Mr. Bergwerff and Ms. Sieval unlawfully and improperly disclosed the same information regarding these inbound shipments to Delmar USA.

35. On April 14, 2017, Mr. Marc Millet, Président du directoire of Logistique Holding SAS, issued a letter to Logfret B.V. (Attn: Hans Bergwerff) and Kirsha B.V. (Attn: Hans Bergwerff), which among other things, set forth an understanding that Mr. Bergwerff had directed employees of Logfret B.V. to enter into transportation arrangements with competitors of the Logfret Group's companies and affiliates. *See* Ex. 6 (April 14, 2017 Letter from Logistique Holding SAS to Logfret B.V. and Kirsha B.V. (Attn: Hans Bergwerff)).

36. On April 24, 2017, the Atlanta Branch Manager for Logfret sent an email to the Chief Financial Officer (CFO) of Logfret, confirming that Mr. Bergwerff and Ms. Sieval had completely stopped sending a high-volume account to Logfret, along with “all other NL [Netherlands] business.” *See* Ex. 7 (April 24, 2017 email from K. Memmler to K. Mistri).

37. On or about April 25, 2017, the Atlanta Branch Manager for Logfret sent a follow-up email to the CFO of Logfret, confirming that Mr. Bergwerff and Ms. Sieval had moved another inbound shipment to the United States via Delmar USA. *See* Ex. 8 (April 25, 2017 email from K. Memmler to K. Mistri).

38. During the course of their improper activities, Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. continued to make improper and fraudulent use of a “Logfret Cargo Lines” bill of lading to provide transportation of cargo from The Netherlands to the United States.

39. Respondents' unlawful activities continued until at least May 12, 2017, when Mr. Bergwerff was dismissed by the Logfret Group general meeting as Managing Director of Logfret B.V. *See* Ex. 1.

40. As a direct consequence of the unlawful conduct in which Respondents engaged, Logfret has been harmed and prejudiced in a number of ways, including suffering the loss of past and current revenue as well as loss of reputation, all of which has caused Logfret significant damages of at least \$2,000,000.

Amended complaint at 1-7.

D. Discussion

1. Jurisdiction Over the Respondents

a. Argument of the Parties

Respondents argue that they are not alleged to be common carriers, marine terminal operators, or ocean freight forwarders and that therefore, there is no jurisdiction. Motion at 12-15. In their opposition to the motion to amend the complaint, Respondents contend that the amended allegations that Respondents are common carriers are legal conclusions and that Complainant fails to state a plausible claim. Respondents' impact statement at 2. In their reply, Respondents claim that Complainant's assertion of jurisdiction as "other persons" acting in conjunction with a common carrier is not supported by applicable law, and that conclusory allegations that Respondents acted as common carriers are not plausible. Reply at 1-3.

Complainant contends that the Commission has personal jurisdiction over the Respondents because Kirsha B.V. was holding out and assuming responsibility for the transportation at issue and therefore acted as an NVOCC; and Delmar USA participated in the violation with Kirsha B.V., Mr. Bergwerff, and Ms. Sieval. Opposition at 6-8. Complainant further asserts that non-party Delmar USA participated in the violation of section 41103(a) in conjunction with other persons indirectly and the other persons were the Respondents. Opposition at 8-10.

b. Relevant Law

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). "The term 'ocean freight forwarder' means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments." 46 U.S.C. § 40102(19).

"The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act's definition of "common carrier."

The term "common carrier" – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission's regulations:

Ocean transportation intermediary means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that –
 - (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
 - (ii) Processes the documentation or performs related activities incident to those shipments; and
- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;

- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The amended complaint alleges that Respondents violated section 41103(a) of the Shipping Act, which states:

A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information – (1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.

46 U.S.C. § 41103(a). As the Commission explained:

In order to establish a violation of section 10(b)(13), the following elements must be shown: (1) disclosure of information concerning the nature, kind, quantity, destination, consignee or routing of property tendered or delivered to a common carrier; (2) that such disclosure was knowingly made by a common carrier or ocean freight forwarder, either alone or in conjunction with any other person; and (3) that the information disclosed is of the type that could be used to the detriment or prejudice of the shipper, consignee, or any common carrier, or could improperly disclose its business transaction to a competitor. In order to receive

reparations for a violation of section 10(b)(13), a complainant must show that disclosure of information caused actual injury.

DNB Exports LLC. v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S., 33 S.R.R. 670, 679 (FMC 2014) (footnote omitted).

The amended complaint also alleges a violation of section 41104.

(a) In General. – A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – (1) allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means;

46 U.S.C. § 41104(a)(1).

c. Analysis

i. Whether Respondents are Common Carriers

Complainant alleges that Respondents “issued one or more fraudulent bills of lading under Complainant’s name, without authorization, for inbound shipments to the United States. Cargo rates and charges for these shipments relied on figures negotiated between Complainant and the underlying carrier, meant solely for Complainant’s use” and that “in arranging and benefiting from the provision of the ocean transportation,” Respondents “acted as *de facto* ‘common carriers’ within the definition at 26 U.S.C. § 40101 and ‘non-vessel-operating common carriers’ within the meaning of 46 U.S.C. § 40101, by ‘holding themselves out’ to the public as NVOCCs and also ‘assuming responsibility for the transportation of goods’ in their capacity as unlicensed NVOCCs.” Opposition at 13-14. Although not entirely clear, it seems that Complainant equates “de facto” with “unlicensed.” Complainant further asserts that the Respondents, “acting completely independently, and outside of their authorized capacity as employees of Logfret B.V., did act as common carriers.” Opposition at 14.

Respondents assert that they disagree with the legal standards proposed by Complainant; there are not sufficient averments that Respondents acted as common carriers; conclusory allegations are not sufficient; and it is not plausible to conclude that there is personal or subject matter jurisdiction. Reply at 1-13.

The Commission has personal and subject matter jurisdiction over the violations alleged by Complainant if Respondents are common carriers, marine terminal operators, or ocean freight forwarders. 46 U.S.C. § 41103(a) (“A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not . . .”); 46 U.S.C. § 41104 (“A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . .”). See *Auction Block Co. v. FMC*, 606 Fed. Appx. 347, 347 n.1 (9th Cir. 2015). The motion to dismiss was filed prior to the amended complaint, which alleges that the “FMC has subject matter jurisdiction over this action” and that the “FMC has personal jurisdiction over” each Respondent as a “common carrier.” Amended complaint at 3-4.

The amended complaint clearly indicates that all three Respondents are located in The Netherlands and that the acts alleged to be Shipping Act violations all occurred in The Netherlands for shipments that were going from The Netherlands to the United States. Because the shipments were entering the United States, Respondents could not be ocean freight forwarders, as OFFs, by definition, handle shipments leaving the United States. Similarly, Respondents are clearly not marine terminal operators in the United States. There are no allegations in the amended complaint that Respondents are marine terminal operators or ocean freight forwarders. In addition, there are no allegations that Respondents operated vessels, rather, they are alleged to be NVOCCs.

To conclude that an entity operated as an NVOCC, the entity must meet the Shipping Act's definition of common carrier; that is, it must hold itself out to the general public to provide transportation by water of cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7).

The Commission has long relied on these three factors – holding itself out, assuming responsibility, and transportation by water – to identify a common carrier:

As a “common carrier” is defined in the Shipping Act, an NVOCC “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. §1702(6). The Commission has found that no single factor of an entity's operation is determinative of its status as a common carrier. [*River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965) (“*Containerships*”)]. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. *Id.*

Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd., 29 S.R.R. 119, 162 (FMC 2001).

In addressing whether agents of OTIs, who are not themselves OTIs, need be licensed, the D.C. Circuit focused on which entity was holding out and assuming responsibility, stating that an “agent acting on behalf of a disclosed NVOCC principal does not hold *itself* out to the general public to provide transportation because it holds out only *in the name of the NVOCC*, subject to that NVOCC's control” and that an “agent of a disclosed principal also does not ordinarily assume responsibility for the transportation of the cargo as the principal bears the burdens of liability.” *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493, 497 (D.C. Cir. 2009) (emphasis in original). Each of these three factors will be discussed in turn.

(a) Holding Itself Out

The first factor is whether the entity “holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” 46 U.S.C. § 40102(7)(A)(i). The Commission explained:

The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates.

Rose Int’l, Inc., 29 S.R.R. at 162 (citation omitted).

“The absence of solicitation does not determine that a carrier is not a common carrier.” *Transp. by Mendez & Co., Inc.*, 2 U.S.M.C. 717, 720 (1944). Holding out can also be demonstrated by a course of conduct. *Containerships*, 9 F.M.C. at 62. It is sufficient if an entity “held out, by a course of conduct, that they would accept goods from whomever offered to the extent of their ability to carry.” *Transp. by Southeastern Terminal & S.S. Co.*, 2 U.S.M.C. 795, 796-797 (1946). Moreover, “the common carrier status depends on the nature of what the carrier undertakes or holds itself out to undertake to the general public rather than on the nature of the arrangements which it may make for the performance of its undertaken duty.” *Bernhard Ulmann Co., Inc. v. Porto Rican Express Co.*, 3 F.M.B. 771, 778 (1952).

Addressing the element of holding out to provide transportation by water between the United States and a foreign country for compensation, the Commission stated in *Worldwide Relocations (FMC 2012)* that an entity may hold out to the public “‘by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.’” *Worldwide Relocations [– Possible Violations of Shipping Act]*, 32 S.R.R. 495, 503 (FMC 2012) (citing *Common Carriers by Water – Status of Express Companies, Truck Lines and Other Non-Vessel Carriers*, 1 S.R.R. 292 (FMC 1961)). The Commission noted that it “has previously found that advertising and solicitations to the public are important factors in determining the issue of ‘holding out’ by an entity.” *Id.*

EuroUSA Shipping, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations, 32 S.R.R. 1906, 1913 (FMC 2013).

In this case, Complainant does not make a plausible allegation that Respondents held out in their names. Rather, the amended complaint alleges that Respondents:

- “used a fictitious entity, ‘Logfret Cargo Line,’ to issue a fraudulent bill of lading for a shipment,” amended complaint at 4;

- “fraudulently used Logfret B.V. as a means of handling logistics and administration of the aforementioned shipment, including invoicing and personnel support,” amended complaint at 5;
- met with Delmar executives “to discuss the ongoing business relationship between Logfret B.V., Delmar International Inc. and the branch offices of its subsidiary, Delmar USA,” amended complaint at 5;
- discussed a plan with Delmar to “use the infrastructure, employees, and resources of Logfret B.V., in coordination with Delmar USA branch offices, to issue Delmar USA bills of lading for inbound shipments to the United States,” amended complaint at 5;
- “directed the staff of Logfret B.V. to handle inbound shipments to the United States through Delmar USA rather than Logfret, for at least two accounts,” amended complaint at 5;
- “received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret, B.V. with the intent to be shipped to the United States on Logfret bills of lading,” amended complaint at 6; and
- the President of Logistique Holding SAS “issued a letter to Logfret B.V. (Attn: Hans Bergwerff) and Kirsha B.V. (Attn: Hans Bergwerff), which among other things, set forth an understanding that Mr. Bergwerff had directed employees of Logfret B.V. to enter into transportation arrangements with competitors of the Logfret Group’s companies and affiliates,” amended complaint at 6.

Complainant further asserts that Respondents “continued to make improper and fraudulent use of a ‘Logfret Cargo Lines’ bill of lading to provide transportation of cargo from The Netherlands to the United States.” Amended complaint at 7. The Logfret Cargo bill of lading attached to the amended complaint as exhibit 2 states “Logfret Cargo Lines” at top, lists “Logfret” as the carrier, and lists an address in France (“Z.I. du Coudray – 2 rue Copernic- 93605 AULNAY-SOUS-BOIS cedex- France”) under the name “Logfret.” Amended complaint, exhibit 2. In exhibit 6 of the amended complaint, a letter from Logistique Holding, Complainant’s parent corporation, is listed as a nearly identical address (“Z.I. du Condrey – 2 nte Nicolas Copernic 93605 AULNAY SOUS BOIS CEDEX”). Amended complaint, exhibit 6. Additionally, the bill of lading attached to the amended complaint was issued by “Andre Conrads” who is identified in exhibit 8 as a Logfret “Coördinator Ocean Freight” with an email address that includes the word “logfret.” Amended complaint, exhibit 8. The bill of lading attached to the amended complaint does not include the names Mr. Bergwerff, Ms. Sieval, or Kirsha B.V. Amended complaint, exhibit 2. Thus, the exhibits attached to the amended complaint also do not support Complainant’s contention that Respondents held out as required by the Shipping Act.

Complainant further explained that it “is Complainant’s understanding that Kirsha B.V. *did* in fact function as an NVOCC—in practice, *if not necessarily in name*—and operated in the U.S. trades.” Opposition at 7 (first emphasis in original, second emphasis added). At no point does Complainant allege that Respondents held out in their personal names or in the name of

Kirsha B.V. The allegations that Respondents acted “independently” or not within their scope of employment are legal conclusions not supported by the factual allegations. While the allegations plausibly allege that Respondents held Logfret B.V. out, Logfret B.V. is not a respondent in this proceeding.

Complainant’s opposition brief lists activities which the Commission has found as evidence that an entity is holding itself out to the public as an NVOCC, such as maintaining an internet website, paying third parties for business leads, etc. There are no allegations in the amended complaint, however, that Respondents engaged in these activities. Instead, the amended complaint alleges that Respondents held out in the name “Logfret Cargo Lines” which does not plausibly suggest that Respondents held out in their own names.

The amended complaint alleges that Logfret B.V. was a licensed NVOCC which issued bills of lading under the name of “Logfret Cargo Lines,” utilizing rates negotiated by Logfret, Inc., which were handled by Logfret B.V. employees. Amended complaint at 7-9. Accepting the factual allegations of the amended complaint as true, while Logfret B.V. may have acted as an NVOCC, there are no plausible allegations that Mr. Bergwerff, Ms. Sieval, or Kirsha B.V. were NVOCCs. While Complainant may object to Respondents’ management practices and commercial decisions, such as the choice of destination agent, these disagreements do not alter the legal analysis. There is no plausible factual allegation that Mr. Bergwerff, Ms. Sieval, or Kirsha B.V. held themselves out as NVOCCs and conclusory allegations to the contrary are not sufficient under *Iqbal* and *Twombly* to defeat the motion to dismiss.

(b) Assumes Responsibility

The second factor is whether the entity “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 40102(7)(A)(ii).

In *Common Carriers by Water*, [6 F.M.B. 245, 250 (1961)], the Federal Maritime Board noted that an entity may be considered a common carrier even if it attempts to disclaim liability because liability may be imposed by operation of law. 6 F.M.B. at 256. However, “[a]ctual liability as a common carrier over the entire journey including the water portion is essential” to determine NVOCC status. *Id.* Although the Commission has not focused on this aspect of common carrier status, favoring the “holding out” analysis, it remains an essential element of the “common carrier” definition in the Shipping Act. 46 U.S.C. § 40102([7])(A)(ii).

In the Matter of the Lawfulness of Unlicensed Persons Acting as Agents for Licensed Ocean Transp. Intermediaries, 31 S.R.R. 185, 199 (FMC 2008) (Dye, dissent (favorably cited by reversing court)) (*rev’d Landstar*, 569 F.3d 493).

Issuing bills of lading may demonstrate a course of conduct sufficient to establish assumption of responsibility.

Barbour’s course of conduct of issuing the seventy-four bills of lading to his customers proves that he held out to members of the general public that he provides transportation of cargo by water between the United States and foreign countries for compensation. The

Barbour Shipping bills of lading also prove that Barbour assumed responsibility for the transportation of the cargo, and with the Liberty Global bills of lading, prove that the shipments were transported by water between the United States and a foreign port.

Barbour – Possible Violations of Sections 8 and 19, 34 S.R.R. 959, 972 (ALJ 2016).

The amended complaint does not make a plausible allegation that Respondents assumed responsibility. Complainant asserts that Respondents “continued to make improper and fraudulent use of a ‘Logfret Cargo Lines’ bill of lading to provide transportation of cargo from The Netherlands to the United States.” Amended complaint at 7. There are no allegations that bills of lading were issued under the names of Mr. Bergwerff, Ms. Sieval, or Kirsha B.V., or that the Respondents personally profited from the transactions, other than as employees of Logfret B.V. The amended complaint does not allege that Mr. Bergwerff, Ms. Sieval, or Kirsha B.V. assumed responsibility for shipments other than on behalf of Logfret B.V., their employer, which is a licensed NVOCC. There is no plausible allegation that the Respondents assumed responsibility for shipments in their own name.

In the course of arranging transportation, an NVOCC may communicate with a destination agent. *See* 46 C.F.R. § 515.2(k)(10). Complainant Logfret does not appear to object to the sharing of information about shipments when that information was shared with Logfret affiliates. Rather, the issue seems to be *with whom* the information was shared (Delmar USA instead of Logfret) rather than *what* was shared. There is no Shipping Act requirement that a particular destination agent be used. If there is such a requirement between these parties, that requirement is likely in internal Logfret documents or agreements. Such internal agreements, particularly ones which restrain trade, are not required by the Shipping Act. Moreover, the selection of *who* to use as the destination agent is not an action which would be determinative of whether or not an entity was acting as an NVOCC.

(c) International Transportation by Water

As required by the Shipping Act, the shipments at issue involved international transportation by water from The Netherlands to the United States. This element is plausibly alleged and supported by the bill of lading attached to the amended complaint as exhibit 2. However, there is no allegation that Respondents, themselves, provided the international transportation by water of the shipments in question. Amended complaint, exhibit 2.

ii. In Conjunction with Any Other Person

Complainant argues that the Commission’s jurisdiction extends to cover “other persons,” such as Respondents, who act in conjunction with NVOCCs. Complainant asserts:

Complainant’s allegations recognize that Delmar USA participated in the violation of 46 U.S.C. § 41103(a) “in conjunction with . . . other person[s] . . . indirectly.” These other persons were Respondents, Kirsha B.V., Mr. Bergwerff, and Ms. Sieval, who are named parties in this proceeding. The Commission’s jurisdiction extends to such persons—a position supported by a plain reading of 46 U.S.C. § 41103(a).

Opposition at 8-9.

Respondents contend that Complainant's assertion that Respondents are subject to the jurisdiction of the Shipping Act in violation of 46 U.S.C. § 41103(a) as "other persons" acting in conjunction with a common carrier is not supported by applicable law. Reply at 1-6.

The amended complaint alleges that Delmar USA was "used as delivery agent" and that Logfret B.V. staff was directed "to handle inbound shipments to the United States through Delmar USA rather than Logfret." Amended complaint at 4-5. Delmar, USA, is listed as the destination agent on the bill of lading attached to the amended complaint. Amended complaint at exhibit 2. While it is alleged that Respondents and Delmar "discussed a plan" for Delmar "to issue Delmar USA bills of lading for inbound shipments to the United States" there is no allegation that such bills of lading were ever issued. *See* amended complaint at 5. Regardless, Delmar USA was not named as a party to this proceeding.

Complainant has not cited to case law that would support such a broad reading of the "other person" language. The alleged violations apply by their explicit language to "a common carrier, marine terminal operator, or ocean freight forwarder" (46 U.S.C. § 41103(a)) and to "a common carrier" (46 U.S.C. § 41104). While the Commission has jurisdiction over unlicensed entities, its jurisdiction does not extend under these allegations to entities who are not acting as common carriers, marine terminal operators, or ocean freight forwarders. As discussed above, there are no allegations that Mr. Bergwerff, Ms. Sieval, or Kirsha B.V. held themselves out or assumed responsibility for shipments.

In *DNB Exports*, the Administrative Law Judge found that the Commission did not have jurisdiction over respondent Impexia, a procurement firm, under the theory that Impexia was liable as an "other person" under section 10(b)(13), the former version of section 41103(a), stating:

Section 10(b)(13) is written to govern the activities of entities regulated by the Commission: Common carriers, marine terminal operators, and ocean freight forwarders. Congress recognized that it is likely these regulated entities would receive information from shippers that the shippers would not want the entity to share. Section 10(b)(13) prohibits common carriers, marine terminal operators, and ocean freight forwarders from disclosing, offering, soliciting, or receiving the information in certain circumstances. The Act governs activities of an entity operating as a common carrier or ocean freight forwarder as defined by the Act whether or not the entity is licensed by the Commission. Section 10(b)(13) does not govern the activities of entities not operating as common carriers, marine terminal operators, or ocean freight forwarders.

DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S., 33 S.R.R. 133, 163 (ALJ 2014) (*rev'd in part*, 33 S.R.R. 670 (FMC 2014)). No exceptions were filed to this finding. *DNB Exports LLC*, 33 S.R.R. at 680 n.6.

There is no legal basis to expand the Commission's jurisdiction to "other people" who are alleged to assist common carriers, marine terminal operators, and ocean freight forwards who

violate 46 U.S.C. § 41103(a). Similarly, if Respondents are not common carriers, there is no legal basis for the Commission to extend jurisdiction to Respondents for alleged violations of section 41104.

It is alleged that the managers and employees of Logfret B.V. were acting in a manner inconsistent with the expectations and financial benefit of Logfret, Inc. However, the amended complaint does not state facts that would support piercing the corporate veil to reach the managers, employees, or Kirsha B.V. individually, and no attempt to do so is made. As Respondents suggest, this appears to be an employment dispute between affiliates, not a Shipping Act violation.

d. Conclusions

The amended complaint does not make a plausible claim that the Respondents were NVOCCs as they did not hold themselves out or assume responsibility as required by the Shipping Act. Therefore, both personal and subject matter jurisdiction are lacking. *See Canaveral Port Authority – Possible Violations of Section 10(b)(10)*, 29 S.R.R. 1436, 1446 (FMC 2003); *Burlington Northern Railroad Co. v. M.C. Terminals, Inc.*, 26 S.R.R. 934, 948-49 (FMC 1993). In addition, there is no basis to assert jurisdiction based on Respondents being “other persons” and no attempt is made to pierce the corporate veil.

Complainant suggests that discovery is required to develop additional evidence. However, if Respondents held out and offered services to the general public, that information should be generally available. It also appears that the parties have been engaged in litigation in another proceeding. Amended complaint, exhibit 6, at 2-3 (referring to “the court hearing of 10 April 2017” and “writ of summons and pleading”). Without making a plausible claim of a Shipping Act violation, it would not be appropriate to require potentially costly and time-consuming discovery.

The amended complaint does not make a plausible claim that Respondents were common carriers subject to the jurisdiction of the Federal Maritime Commission. Complainant was provided an opportunity to amend the complaint after the motion was filed. Complainant has not asked for any additional amendments and it appears that additional amendments would be futile. Accordingly, the amended complaint will be dismissed with prejudice and the proceeding discontinued.

Because the motion is decided on the basis of a lack of personal and subject matter jurisdiction based upon the allegations in the amended complaint and exhibits, it is not necessary to consider the exhibits attached to the Respondents’ impact statement. It is also not necessary to reach the other issues raised by the parties.

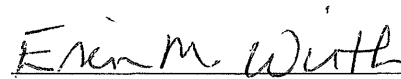
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondents' motion to dismiss be **GRANTED**. The amended complaint is hereby **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge